

Grade 12 Maths Unit 5

Unit Outcomes

By the end of this unit, students will be able to:

- ✓ Know common terms related to business.
- ✓ Know basic concepts in business.
- ✓ Understand time value of money.
- ✓ Apply mathematical principles and theories to practical situations.

5.1 Basic Mathematical Concepts in Business

Competencies

- ✓ Compare quantities in terms of ratio.
- ✓ Calculate the rate of increase and the rate of decrease in price of commodities.
- ✓ Solve problems on proportional variation in business.
- ✓ Solve problems on compound proportion.
- ✓ Find a required percentage of certain given amount.
- ✓ Compute problems on percentage increase or percentage decrease.

5.2 Time Value of Money

Competencies

- ✓ Calculate payment by installment for a given simple interest arrangement.
- ✓ Calculate the compound interest of a certain amount invested for a given period of time.
- ✓ Apply the formula for compound interest to solve practical problems in business.
- ✓ Compute annuity for a give arrangement.

- ✓ Define annuity
- ✓ Calculate annuity
- ✓ Classify annuity
- ✓ Interpret annuity concept to solve real life problems
- ✓ Define different terms related to amortization
- ✓ Formulate home (any) payment schedule
- ✓ Calculate monthly payment
- ✓ Describe what is depreciation mean and some of its causes
- ✓ Compute depreciation by using either of the two methods appropriately

5.3 Saving, Investing and Borrowing Money

Competencies

- ✓ List five valid reasons for savings.
- ✓ Explain how savings become investment.
- ✓ List three saving plans.
- ✓ Identify four kinds of financial institutions.
- ✓ Describe three main factors in choosing a particular institution for saving.
- ✓ Compute and solve numerical problems on saving
- ✓ Identify the four factors that should guide consumers in planning an investment strategy.
- ✓ Explain the differences between stocks and bond.
- ✓ Describe ways to invest in stock and bond.
- ✓ Compute and solve numerical problems on investment.
- ✓ Describe the advantages and disadvantages of borrowing money.
- ✓ Identify the usual sources of cash loan.
- ✓ Compute the amount and time on the return of loan based on the given agreement.

5.4 Taxation

Competencies

- ✓ Give name three types of activities that government performs and examples of each.
- ✓ Explain why governments collect taxes.
- ✓ Describe the basic principles of taxation.
- ✓ Describe the various kinds of taxes.
- ✓ Give their opinion about “income taxes” mean for them in relation to their future first job.
- ✓ Calculate different types of taxes based on the “rate of tax” in Ethiopia.
- ✓ Solve problems related to road traffic, tax education, customer protection, climate change, and anti-doping.